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JL Mag Rare-Earth Co. Ltd | Asia Pacific

China BEST Conference 2026 Feedback

JL Mag targets over 90% utilization and more than 10% YoY volume growth in 2026. ASP may rise 20–25%, mainly following higher raw-material prices. The company is confident in maintaining the current margin range of 21–22%.

JL Mag has a leading position in rotors used in humanoid robots, cooperating with China’s top 10 robot manufacturers, in addition to getting orders from top overseas makers. Per the company, an advanced humanoid robot may use c.70–80 rotors with a total value of Rmb3–5k with over 30% GPM at mass-production scale. Rotors used in hands are smaller in size, where JL Mag has a strong competitive position. In contrast, for the larger rotors used in robotic bodies, some assembly providers also compete for this business by sourcing 3rd-party magnets.

Cybercabs use ferrite motors that do not require rare-earth elements, but mgmt thinks this is unlikely to become a mainstream EV solution. Compared with rare-earth motors, ferrite motors are typically larger and offer lower power density, which makes them more suitable for certain low-end applications.

In 1H26 JL Mag maintained its >30% global market share in magnets used in EV drive motors, as per the company.

MORGAN STANLEY ASIA LIMITED+
Rachel L Zhang
Equity Analyst
Rachel.Zhang@morganstanley.com +852 2239-1520
Chris Jiang
Equity Analyst
Chris.Jiang@morganstanley.com +852 3963-1593
Hannah Yang, CFA
Equity Analyst
Hannah.Yang1@morganstanley.com +852 2239-7079

JL Mag Rare-Earth Co. Ltd (6680.HK, 6680 HK)				
Greater China Materials China				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	HK\$27.80			
Up/downside to price target (%)	78			
Shr price, close (Sep 17, 2026)	HK\$15.63			
52-Week Range	HK\$29.30-15.19			
Mkt cap, curr (mn)	Rmb30,991			
Avg daily trading value (mn)	HK\$155			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.52	0.79	1.05	1.42
Revenue, net (Rmb mn)	7,718	10,950	12,464	14,228
ModelWare net inc (Rmb mn)	706	1,085	1,427	1,932
P/E	32.0	16.8	12.8	9.4
P/BV	3.0	2.2	2.0	1.7
RNOA (%)	11.6	15.5	18.4	24.6
Return on avg eqty (%)*	9.7	13.6	16.2	19.4
EV/EBITDA	42.0	19.9	15.0	11.3
Div yld (%)	1.3	2.5	3.3	4.5
Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework				
** = Based on consensus methodology				
* = GAAP or approximated based on GAAP				
e = Morgan Stanley Research estimates				

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Valuation Methodology and Risks

JL Mag Rare-Earth Co. Ltd (300748.SZ)

Our price target is derived from a discounted cash flow model through 2035. We apply a cost of equity of 10.8% based on a beta of 1.1, a 2.7% risk-free rate and a 7.3% equity risk premium. We assume terminal growth of 4% beyond our explicit forecast period.

Risks to Upside

- New capacities commence operation faster than scheduled, which would help drive the company's sales volume.
- Stronger-than-expected downstream demand

Risks to Downside

- Long cash cycle leading to increasing working capital demand
- Rising rare earths prices
- Weaker-than-expected downstream demand
- US and EU reducing their dependence on rare earth magnets from China

JL Mag Rare-Earth Co. Ltd (6680.HK)

Our H-share price target is derived from the A-share price target using a 50% A/H premium and 0.88 HKD/CNY exchange rate. This premium is based on the latest A/H premium of JL Mag.

Risks to Upside

- New capacities commence operation faster than scheduled, which would help drive the company's sales volume
- Stronger-than-expected downstream demand

Risks to Downside

- Long cash cycle, leading to increasing working capital demand
- Rising rare earths prices
- Weaker-than-expected downstream demand
- US and EU reducing their dependence on rare earth magnets from China

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(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

JL Mag Rare-Earth Co. Ltd (300748.SZ) - As of 09/18/26 GMT in CNY
Industry : Greater China Materials



Stock Rating History: 5/26/22 : E/A; 4/23/25 : 0/A

Price Target History: 5/26/22 : 20.56; 7/13/22 : 28.81; 1/4/23 : 21.44; 4/25/23 : 19.94; 7/14/23 : 19.9; 9/21/23 : 18.5; 4/9/24 : 16.7; 9/25/24 : 11.4; 12/16/24 : 18.2; 4/23/25 : 26.3; 10/8/25 : 39.3; 4/15/26 : 36.7

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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JL Mag Rare-Earth Co. Ltd (6680.HK) - As of 09/18/26 GMT in HKD
Industry : Greater China Materials



Stock Rating History: 5/26/22 : 0/A; 4/9/24 : E/A; 4/23/25 : 0/A

Price Target History: 5/26/22 : 17.75; 7/13/22 : 25.88; 1/4/23 : 18.31; 4/25/23 : 17.44; 7/14/23 : 17.4; 9/21/23 : 15.3; 4/9/24 : 7.2; 9/25/24 : 5.9; 12/16/24 : 8.2; 4/23/25 : 16.6; 10/8/25 : 28.6; 4/15/26 : 27.8

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/17/2026)
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Chris Jiang

Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb18.39
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$2.10
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb27.15
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb6.17
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb168.36
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb44.29
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb40.85
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb35.18

Hannah Yang, CFA

China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$21.84
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$16.43
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$5.75
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb9.13
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$8.57
Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.31
Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb26.45
Tianshan Aluminum (002532.SZ)	E (07/08/2026)	Rmb12.73
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$8.44
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb37.16

Rachel L Zhang

Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb9.16
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$8.01
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.72
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb15.71
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb10.11
China Jushi (600176.SS)	O (12/22/2020)	Rmb47.15
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$3.10
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$18.70
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$15.52
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb17.35
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb37.49
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$21.86
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.51
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb45.91
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$33.34
Grace Fabric Technology Co. Ltd. (603256.SS)	O (09/14/2026)	Rmb145.18
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb71.36
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb18.74
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$33.36
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb43.26
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$15.63
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb24.97
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$6.19
PT Merdeka Gold Resources Tbk (6228.HK)	O (08/04/2026)	HK\$33.58
Shandong Gold Mining Co. Ltd (600547.SS)	E (07/09/2026)	Rmb32.86
Shandong Gold Mining Co. Ltd (1787.HK)	E (07/09/2026)	HK\$23.30
Shandong Nanshan Aluminium Co. (600219.SS)	E (07/08/2026)	Rmb4.66
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$30.70
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb42.74
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb8.04
Zhaojin Mining Industry (1818.HK)	E (07/09/2026)	HK\$20.46
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$155.00
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$33.86
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb30.90

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* Historical prices are not split adjusted.

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